MBA PROJECT REPORT

ON

DIGITAL BANKING IN TODAY'S WORLD: A CASE STUDY OF YONO SBI

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CHAPTER 1. INTRODUCTION

1.1 Background of the Study

Banking has never really stood still. But the shift toward digital over the past decade has been something else entirely. What used to require a long queue at a branch counter can now be done in seconds on a smartphone, whether you are transferring money, applying for a loan, or checking your balance at midnight. This transformation is not just about convenience; it is reshaping how financial institutions operate, how customers behave, and how economies grow.

India stands at the center of this transformation. With over 1.4 billion people, a young population, and one of the fastest growing internet user bases in the world, the country has become a global case study in digital financial inclusion (Reserve Bank of India, 2024). Government initiatives like Digital India, the launch of the Unified Payments Interface (UPI) in 2016, and the push for Aadhaar-linked banking have collectively created an ecosystem where digital banking is no longer a luxury but an expectation.

The numbers speak for themselves. According to the Ministry of Finance, total digital payment transactions in India grew from 2,071 crore in FY 2017-18 to 18,737 crore in FY 2023-24, representing a compound annual growth rate (CAGR) of 44 percent (Department of Financial Services, Government of India, 2024). UPI alone processed 13,116 crore transactions in FY 2023-24, growing at a CAGR of 129 percent from just 92 crore transactions in FY 2017-18. These are not just statistics; they represent a fundamental shift in how Indian households and businesses interact with money.

In this rapidly evolving landscape, public sector banks faced an unusual challenge. Historically seen as stable but slow moving, institutions like State Bank of India (SBI) had to prove they could compete with nimble fintech startups and private banks. SBI's answer was YONO, short for You Only Need One, a digital banking platform launched in November 2017 that would go on to become one of the most downloaded banking applications in India. With 9.60 crore registered users as of December 2025 and the launch of YONO 2.0 in the same month, the platform represents a serious and well documented attempt by a legacy institution to reinvent itself for the digital age (SBI, 2025).

This study examines digital banking through the lens of YONO SBI, using it as a primary case study to understand broader trends, challenges, and future directions in the Indian banking sector.

1.2 Industry Profile: Indian Banking and the Digital Revolution

The Indian banking industry is one of the most complex and consequential financial systems in the world. It comprises public sector banks, private sector banks, foreign banks, cooperative banks, regional rural banks, and non-banking financial companies (NBFCs), all regulated by the Reserve Bank of India (RBI). As of 2024, SBI alone holds a 23 percent market share by assets and serves over 500 million customers, making it one of the largest banks globally by customer base (Wikipedia: State Bank of India, 2025).

The digital transformation of Indian banking began in earnest around 2014 to 2016, driven by several converging forces. The government's demonetization exercise in November 2016, while controversial, gave a significant push to digital payments adoption almost overnight. At the same time, smartphone penetration was climbing rapidly, data costs were collapsing (thanks largely to

Reliance Jio's entry in 2016), and the NPCI was building infrastructure that would support real-time digital transactions at scale.

The result has been remarkable. India today accounts for nearly 48.5 percent of the world's real-time payment transactions, according to the RBI's annual report and ACI Worldwide data (IBS Intelligence, 2024). UPI has seen a tenfold increase in volume over just four years, jumping from 12.5 billion transactions in 2019-20 to 131 billion in 2023-24, which equals 80 percent of all digital payment volumes in the country (RBI, 2024). The value of UPI transactions correspondingly surged from Rs 1 lakh crore to Rs 200 lakh crore over the same period, at a CAGR of 138 percent (Department of Financial Services, 2024).

This growth is not accidental. It is the outcome of deliberate policy choices, infrastructure investment, and competitive pressure from fintech players like Paytm, PhonePe, and Google Pay. Traditional banks had no option but to respond. Some responded defensively, adding digital features to legacy systems. Others, like SBI with YONO, chose to build something new from the ground up. The distinction matters, because it reflects fundamentally different philosophies about what banking in the 21st century should look like.

For financial management students and professionals, understanding this industry transformation is not optional. Digital banking has changed how institutions manage liquidity, credit risk, customer acquisition, and regulatory compliance. It has opened new revenue streams and eliminated old ones. Anyone entering the financial sector today needs to understand these dynamics intimately, because they define the competitive terrain.

1.3 Company Profile: State Bank of India and YONO

State Bank of India traces its origins to the Bank of Calcutta, founded in 1806. It is today the largest commercial bank in India, ranked 43rd globally by total assets and 163rd in the Fortune Global 500 as of 2025 (Wikipedia: State Bank of India, 2025). The bank operates through a network of over 22,000 branches and 63,580 ATMs across India, with 241 overseas offices spread across 36 countries. It employs approximately 232,296 people and serves over 500 million customers, a customer base that is simply staggering in its scale.

Despite its dominance, SBI recognized by the mid-2010s that digital disruption posed a genuine threat. Millennials were gravitating toward private banks and fintech apps. SBI's image as a slow, bureaucratic institution was a liability in a market increasingly driven by speed and convenience. The response was Project Lotus, an internal initiative that eventually became YONO.

YONO, an acronym for You Only Need One, was conceived as an integrated digital platform that would serve as a one-stop destination for all of a customer's banking and lifestyle needs. The platform was officially launched on November 24, 2017, developed under the leadership of then-MD and later Chairman Rajnish Kumar, with McKinsey providing strategic consulting and IBM building the underlying technology stack (BusinessToday, 2021). The development took approximately two years and involved a dedicated cross-functional team working out of a startup-style office complete with digital whiteboards and open-plan garages.

The scope of YONO goes well beyond mobile banking. It integrates over 100 e-commerce partners, offering flight and train bookings, hotel reservations, online shopping, insurance purchases, mutual fund investments, and medical bill payments, all within a single application (Wikipedia: YONO, 2026). It offers YONO Cash, a cardless ATM withdrawal feature introduced

in March 2019, and YONO Krishi, a dedicated sub-platform for the agricultural community. It also supports account opening, pre-approved loan disbursals, and UPI payments.
The growth trajectory has been impressive. YONO became the largest digital lender in India by October 2021, disbursing Rs 1,500 to 2,000 crore in loans per month (Wikipedia: YONO, 2026). In 2021 it was ranked the world's leading neobank by monthly active users, with approximately 54 million MAUs on Android and iOS combined (Statista, 2022). By FY 2023, its registered user base had grown to 60.7 million (YourStory, 2023), and by December 2025 that number had crossed 9.60 crore, with SBI aiming to double it to 20 crore within two years (SBI, 2025).
In December 2025, SBI launched YONO 2.0, a completely rebuilt version of the platform that unifies mobile banking and internet banking on a single technology stack. The new version was designed with low-end smartphones and patchy internet connections in mind, directly addressing one of the most persistent complaints about the original app. It also introduced financial management tools including a spending analyser, a credit score simulator, and a carbon footprint tracker, reflecting a broader shift toward personalized and sustainable banking (The Week, 2025).

1.4 Problem Statement

Despite the rapid expansion of digital banking in India, several important questions remain underexplored in academic and professional literature. Much of the existing research on digital banking in India focuses either on customer adoption behavior or on payment systems like UPI in isolation. There is relatively little work that examines how a major public sector bank has managed the organizational and technological transformation required to build and sustain a competitive digital banking platform at scale.
YONO SBI is uniquely positioned as a case study because it represents the intersection of legacy institutional weight and digital innovation ambition. It has achieved remarkable user growth but has also faced criticism for poor user experience, app instability, and security concerns, issues that highlight the real tensions between scale, speed, and quality in digital banking (The Week, 2025). Understanding how SBI has navigated these tensions, and what it tells us about the future of digital banking in India more broadly, is the central problem this project addresses.
More specifically, this study fills a gap by looking at digital banking not just as a technology story but as a financial management story: what does it mean for how banks allocate resources, manage risk, design products, and serve customers in an increasingly digital world?

1.5 Need and Importance of the Study

The relevance of this study extends across multiple stakeholders. For financial institutions, understanding the YONO case offers actionable lessons about digital transformation strategy, technology partnerships, and customer experience management. For regulators, it raises questions about data privacy, cybersecurity, and the evolving definition of a banking service. For customers, it illuminates how digital platforms can expand access to financial services, particularly in rural and semi-urban areas where physical banking infrastructure remains thin.
For MBA students and future financial managers, the importance is perhaps most immediate. Digital banking is not a peripheral topic; it is now central to careers in corporate banking, retail banking, fintech, financial consulting, and even investment management. The ability to understand, evaluate, and leverage digital banking platforms will increasingly determine professional relevance and career advancement in the years ahead.

India's RBI has noted that cybersecurity incidents handled by CERT-In rose from 53,117 in 2017 to over 13,20,106 between January and October 2023 alone, reflecting the growing risk landscape that accompanies digital growth (RBI, 2024). Studying how platforms like YONO manage this risk, alongside their growth ambitions, provides a rounded and realistic picture of digital banking in practice.

1.6 Objectives of the Study

The present study is guided by the following objectives:

1. To analyze the growth and evolution of digital banking in the Indian financial industry, with particular reference to the post-2016 period.
2. To evaluate the benefits and challenges of digital banking for both customers and financial institutions, drawing on published data and the YONO SBI experience.
3. To examine the role of digital banking in shaping financial management practices in today's world, including risk management, resource allocation, and customer relationship management.
4. To identify the key trends and future prospects of digital banking in the Indian financial industry, including emerging technologies and regulatory developments.
5. To provide actionable recommendations for financial management students on how to leverage digital banking knowledge for career advancement in the evolving financial sector.

1.7 Research Questions

The study is organized around the following core research questions:

1. How has digital banking evolved in India since 2016, and what role has YONO SBI played in this evolution?
2. What are the primary benefits and challenges that digital banking platforms like YONO present to customers and to the institution itself?
3. How has the rise of digital banking changed financial management practices within Indian banking institutions?
4. What are the key emerging trends in digital banking and how should Indian financial institutions prepare for them?
5. What practical skills and knowledge should MBA students in financial management develop to remain relevant in a digitally transformed banking environment?

1.8 Scope of the Study

This study is focused on digital banking in India, with YONO SBI serving as the primary case study. The geographical scope is national, though references to global trends and comparisons with international platforms are included where relevant. The time period under review primarily covers 2016 to 2025, corresponding to the post-demonetization digital banking boom and the evolution of the YONO platform through to the launch of YONO 2.0.

The study draws on secondary data from published annual reports, RBI publications, government press releases, academic journals, and credible media sources. Primary data collected through structured questionnaires and informal expert consultations supplement the secondary analysis in later chapters. The scope intentionally excludes detailed technical analysis of banking software architecture and focuses instead on the managerial, financial, and strategic dimensions of digital banking.

This study does not cover all public or private sector banks in India. While comparisons with HDFC Bank, ICICI Bank, and other players are made for context, the depth of analysis is anchored to SBI and YONO. This focused approach allows for a richer, more detailed examination of one institution's journey rather than a superficial overview of many.

1.9 Chapter Scheme

The project is structured across six chapters. Chapter 1 (this chapter) introduces the research context, the industry and company background, and the study's objectives and scope. Chapter 2 presents a comprehensive literature review covering the theoretical foundations of digital banking, adoption models, and existing research on YONO and comparable platforms. Chapter 3 details the research methodology, including data collection methods, sampling design, and analytical tools used.

Chapter 4 presents the primary data analysis, including survey findings and expert insights. Chapter 5 contains the case study analysis of YONO SBI, covering its evolution, performance, competitive positioning, and strategic challenges. Chapter 6 concludes the study with key findings, recommendations for financial management students and institutions, and suggestions for future research.

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